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Calif. Gov. Newsom Signs Legislation Ensuring California Won't Subsidize Trump's January 6 Slush Fund

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SACRAMENTO, California, July 1 -- Gov. Gavin Newsom, D-California, issued the following news release on June 30, 2026:

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Governor Newsom signs legislation ensuring California won't subsidize Trump's January 6 slush fund

What you need to know: Governor Newsom signed legislation imposing a 100% California tax on distributions from Donald Trump's fund created to benefit individuals connected to the January 6 attack on the U.S. Capitol.

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In response to President Donald Trump's $1.776 billion fund benefiting individuals connected to the January 6 attack on the U.S. Capitol, Governor Gavin Newsom signed legislation implementing California's response. The new law imposes a 100% California tax on distributions from the fund, ensuring California will not provide tax benefits associated with payments to individuals convicted of crimes related to the attack.

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Donald Trump wants taxpayers to reward people who assaulted police officers and tried to overturn an American election. California rejects politics of grievance, extremism, and violence. We believe democracy is worth defending, the rule of law matters, and public dollars should support victims--not those who attacked the very institutions that protect our freedoms. California will continue to be a beacon for those values, even when others abandon them.

- Governor Gavin Newsom

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The legislation (SB 122, Committee on Budget and Fiscal Review) reflects California's longstanding commitment to defending democratic institutions, supporting victims of crime, and ensuring taxpayer resources are never used to reward criminal conduct or political violence.

"California is drawing a clear line: there will be no windfall for anyone who has engaged in corruption or attacked our democracy. These dollars belong to the taxpayers, and we will ensure that they remain with the taxpayers," said Assemblymember Jesse Gabriel (D- Encino).

"California has the authority to determine how payments are treated under our own tax laws, and this budget action reflects that responsibility. If the federal government chooses to create a special compensation fund, California isn't required to provide a state tax benefit for those payments," said State Senator John Laird (D- Santa Cruz). "This provision ensures our tax code remains consistent with California's fiscal priorities and our responsibility to taxpayers."

Last month, Governor Newsom proposed the measure after the Trump Administration announced plans to establish a $1.776 billion compensation fund benefiting individuals connected to January 6. Although a federal judge

temporarily blocked implementation of the fund, the U.S. Department of Justice has stated it remains confident in the program's legality.

By signing today's legislation, California is ensuring that if Trump's slush fund proceeds, recipients will not receive favorable state tax treatment on those payments.

California stands with victims--not those who attacked democracy

The Trump Administration has reduced or eliminated hundreds of millions of dollars in federal public safety grants supporting victims of domestic violence, sexual assault, human trafficking, gun violence, cybercrime, and other serious offenses.

Rather than rewarding individuals convicted in connection with the January 6 attack, those federal resources could instead support:

* Protecting children from sexual abuse and exploitation.

* Combating human trafficking.

* Supporting survivors of domestic violence and sexual assault.

* Hiring local police officers, investigators, and prosecutors.

* Fighting organized retail theft and cybercrime.

* Expanding community violence intervention programs.

* Strengthening services for crime victims nationwide.

California's new law underscores the state's commitment to investing in public safety, supporting victims, defending law enforcement officers who uphold their oath, and protecting democratic institutions.

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Original text here: https://www.gov.ca.gov/2026/06/30/governor-newsom-signs-legislation-ensuring-california-wont-subsidize-trumps-january-6-slush-fund/

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